Sonargaon University(SU)

Faculty of Business

Bachelor of Business Administration (BBA)

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BA 1101	Introduction to Business	3	28-Aug-24	2:00pm-4:00pm	336503	BBA0224-Amazon
Hum 1201	Bangladesh Studies	3	4-Sep-24	2:00pm-4:00pm	695489	BBA0224-Amazon
BA 1103	Principles of Accounting	3	2-Sep-24	2:00pm-4:00pm	270778	BBA0224-Amazon
Hum 1102	English-I	3	31-Aug-24	2:00pm-4:00pm	766457	BBA0224-Amazon

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Final Examination, Summer 2024
Course Title: *Bangladesh Studies*
Course Code: HUM1201
Assignment On: *The impact remittance in economic development of Bangladesh.*

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Impact remittance in economic development of Bangladesh.

In Bangladesh has a long history and connection between remittance and economic development. Over the last century, the country split from India and then Pakistan, each moment of independence corresponding with a rush of migration into and out of its territory. Amid sustained economic growth and rising living standards after Bangladesh declared its independence in 1971, labor migration particularly to the Middle East has grown in recent decades, due in part to an unstable domestic labor market. Last few decades, remittances have grown significantly in volume, contributing to the country's economic resilience, poverty alleviation, and overall development trajectory. As Bangladesh continues to experience robust economic growth, the importance of remittances cannot be overstated. They have become one of the largest sources of foreign exchange earnings, surpassing traditional exports such as garments and textiles in some years. This steady inflow of funds has not only stabilized the country's balance of payments but has also had profound effects on household income, consumption patterns, and investment in human capital. Since independence, emigration has been instrumental for improving the standard of living and social status of residents in Bangladesh, a country of 171 million people. Millions have taken short-term contracts abroad, with a record 1.3 million leaving in 2023 alone. In addition, an unknown but large number of Bangladeshis have taken unofficial overseas contracts that are not registered with the government. The nature of labor migration from Bangladesh is mainly short-term, based on unskilled or semi-skilled work. More than 7.4 million Bangladesh born individuals lived abroad as of 2020, according to UN estimates. The money these migrants and others send back $21.9 billion via official remittance channels in 2023, according to the government is a major source of development for Bangladesh. Aside from India, Saudi Arabia has long ranked as the largest origin of official remittances to Bangladesh, accounting for $4.1 billion in 2022, followed by other Gulf countries. However, the impact of remittances is not without its challenges. While remittances have the potential to drive economic development, they can also lead to dependency, reduce labor market participation, and contribute to inflationary pressures. Moreover, the benefits of remittances are often unevenly distributed, with rural areas and poorer households receiving a smaller share of the inflows compared to urban and wealthier households. Additionally, the reliance on remittances raises concerns about the sustainability of economic growth, particularly if global economic conditions or migration trends change unfavorably. In the context of Bangladesh, where a significant portion of the population relies on remittances, understanding the nuanced impacts of these financial flows is crucial for formulating effective economic policies. This essay

seeks to explore the various dimensions of remittances and their impact on the economic development of Bangladesh. It will examine the role of remittances in fostering economic growth, reducing poverty, and enhancing social development while also addressing the potential downsides and risks associated with heavy reliance on these financial inflows. Through a comprehensive analysis, the essay aims to provide insights into how Bangladesh can optimize the benefits of remittances while mitigating the associated challenges, ensuring that remittances contribute to sustainable and inclusive economic development.

Impacts of Emigration and Remittances

The vast amount of money sent back by emigrants and others as remittances has been among the most powerful tools in Bangladesh's economic outlook, contributing to improving the living standards of families and spurring development. Although the country's domestic garment sector is said to be the highest foreign income earner, accounting for nearly $47 billion in 2023 (more than 10 percent of gross domestic product [GDP]), remittances are likely more important. This is because a significant amount of garment export earnings covers the cost of importing raw materials, thereby reducing net income. Therefore, official remittances, which added up to nearly $21.9 billion in 2023, are likely the top income-generating economic sector for Bangladesh. International remittance flows have generally risen swiftly since Bangladesh's independence, increasing from $1 billion in 1993 to $12.8 billion in 2013 and $18.4 billion in 2019 (see Figure 3). During the COVID-19 outbreak, fewer Bangladeshi workers were able to travel overseas and many analysts predicted remittances would decline significantly in Bangladesh and other major remittance-receiving countries. However, recorded remittance transfers to Bangladesh remained resilient, and rose to $21.8 billion in 2020—a 19 percent increase over the previous year

Employment

Bangladesh's economic growth and development experiences over the past four and a half decades since independence in 1971 have generated a lot of interests among academics and development practitioners both from home and abroad. From a war-torn economy in 1972 until now, Bangladesh has been able to increase its per capita GDP by more than 17 times (from as low as around USD 100 in 1972 to USD 1,751 in 2018), cut down the poverty rate from as high as 71 percent in the 1970s to 24 percent in 2016, became the second largest exporter

of readymade garments in the world, and registered some notable progress in social sectors. In 2015, Bangladesh graduated from the World Bank's classification of low-income country to lower-middle income country category. Bangladesh has successfully met all three criteria for LDC graduation in the first review in March 2018. It is expected that Bangladesh will be able to meet the graduation criteria in the second review in 2021 and will finally graduate from the LDC status in 2024

Remittances from 1976 to 2023

Remittance inflows through formal channels have remained relatively stagnant since 2020. The World Bank predicts that remittances to South Asian countries in general will slow down somewhat in 2024, although the region is projected to receive the most remittances among those sent to low- and middle-income countries. India, Bangladesh's neighbor, is the world's largest remittance recipient (with an estimated $125 billion in remittances via formal channels in 2023) and Pakistan is also a major remittance receiver ($24 billion in 2023). However, it is impossible to calculate precisely how much money comes to Bangladesh and other countries via all forms of remittances, due to the large sums believed to travel through unofficial channels. Because of currency devaluation and exchange rate management policies, among other factors, many people sending money to Bangladesh do so through informal channels such as the hawala system or via gifts and goods that migrants bring with them on their return. In recent years, Bangladesh's economy has been steadily growing, with favorable government spending, foreign aid declining as a share of gross national income (GNI), low external debt, and many other positive signs. Not many developing countries have enjoyed such macroeconomic stability for such a long time in recent years. Even when the pandemic arrived, economic stability was not severely affected and the government was able to run a large stimulus package. Remittances have played a significant role in this economic condition. The Bangladeshi government's Remittance Incentive Programme, launched in July 2019, intends to encourage Bangladeshi people working abroad to use legitimate remittance channels instead of the informal Hawala Hundi system. This programme offers a cash reward as a direct deposit into the worker's bank account for every amount sent through legal procedures. The incentive began at 2%, raised to 2.5 percent on January 1, 2022, and was elevated to 5% in October 2023. This programme is a deliberate initiative by the Government of Dhaka to promote official banking

systems for remittances, increasing transparency and contributing to Bangladesh's overall economic growth.

Negative Impacts of Migration and Remittances

Over the long term, Bangladesh's dependence on remittances may pose future risks, increasing the need to diversify the country's fiscal situation. Otherwise, the economy may become vulnerable to headwinds outside of its control. While remittances sent via formal channels did not drop as expected during the pandemic, transfers could still be affected by future events. A potential decline in remittances requires innovative policies that reduce the country's dependence and increase domestic sources of revenue. Since most remittances come from unskilled and semi-skilled laborers, a skilled workforce and new labor markets could lead to employment for different occupations and more resilience to remittance-related challenges. Remittance-receiving households in Bangladesh tend to be better off financially and socially than others. Families often spend remittances on consumer goods such as food, clothing, education, medical care, and shelter, and this is especially true for poor urban and rural households. This income thereby improves households' standards of living. Moreover, remittance-receiving households may use a significant portion of the inflows to purchase land and (for agricultural households) improve farming techniques such as by making investments in modern machinery. Because Bangladesh is incredibly vulnerable to natural disasters, remittances place recipient households in a stronger position to bear future risks. This in turn enables private savings, diversified livelihoods, and investment in small businesses. Remittance-prompted investments in land, agriculture, and housing also boost local markets and stimulate rural economies. These transformations can increase mechanization of agriculture, cash crops, and fisheries, directly contributing to local community development. Remittances can make it easier for receiving households to become self-employed in these sectors and to hire other workers. When households use remittances to construct, expand, or improve their homes, they increase the demand for labor and raw materials, thereby contributing significantly to local employment. Remittance senders also tend to contribute to the public life of their communities of origin by and other facilities.

impact of exports and imports

The estimated results show that explanatory variables have positive and significant impact on the economy of Bangladesh. We found a positive and highly significant relationship between Export and RGDP growth, implying that higher exports are associated with higher economic growth. The estimated coefficient 3.2678 implies that an increase in Export-RGDP ratio by one percentage point leads to GDP growth by 3.2678 percent per annum. As there is short run causality running from both export and import to RGDP, the Bangladesh economy needs to concentrate on both export and import stability for long run. The main macroeconomic indicators for a country are the Gross Domestic Product (GDP), Export of Goods and Services (EXPORT) and Import of Goods and Services (IMPORT). Such indicators are an integral part of all economies including Bangladesh's overall development effort and national growth. Higher export rates of goods and services may play a major role in Bangladesh's development plan, where foreign exchange shortage is a key bottleneck. From the data given from IMF, Bangladesh's current economic situation is the second fastest growing major economy in 2016, at a rate of 7.1%. Exports system rebounded in 2018. The total earnings of exports increased by 7.4% in July-February, 2017- 2018, compared with 3.2% growth against the corresponding period of 2017. The average value that occurred in Bangladesh during period 1960- 2017 was 10.08% with a minimum of 2.9% in 1975 and a maximum of 20.16% percent in 2012.However, to attain the 2018's 8.2% growth target the expert growth is short of track. During the time period of March- June 2018 export will need to grow by 14.9% comparative to the same period in 2017 to achieve the target. This year 11.6% growth in export of knit products that is exports growth this year has so far been driven by Readymade garments (RMG) recording a growth of 8.7% during July February, 2018. Primarily growth appears to have been volume driven. Non-RMG export earning which the growth derives from was unable to keep pace. In the first eight months exporting to the EU market gained momentum with a growth of 11.7%, which is higher than the growth rate for the corresponding period in 2017. In the US market other prime competitors of Bangladesh experienced significant growth. For import the average value for Bangladesh during 1960-2017 was 15.96% with a minimum of 8.1% in 1975 and a maximum of 27.95% in 2012. The main driving force of exports is ready made-garments (RMG) and remittances

from migrant workers. The country is diversifying its export base in terms of products and destinations while tapping into its vibrant private sector. The increased production of exportable goods brings about an expansion in the volume of trade. On the opposite end of the spectrum, the large production of importable goods such as fuel, capital goods and foodstuff originated in China, India, Kuwait, and the EU causes a contraction in the volume

Conclusion

Bangladesh is the 7th highest recipient of remittances in the world and the second highest brand value in South Asia, right after India, which is more than twice that of Pakistan and 10 times that of Sri Lanka with almost $22.1 billion in 2021 and was the third highest recipient of remittances in South Asia These transfers play a significant role in the Bangladeshi economy, contributing substantially to the country's foreign exchange reserves and national income. A survey on remittance usage conducted by the Bangladesh Bureau of Statistics in 2013 showed that one third amount of the remittances are used for food and non-food expenditures. Significant amount of remittances was used for durable and other expenses including utilized for the purchase of land. In regards to investment and savings, the Bangladesh Bureau of Statistics revealed that another one third amount of remittances goes to investment and substantial amount of remittances goes to savings. Presently, the World Bank stands as the foremost external financier for Bangladesh. The determination to sustain funding is rooted in Bangladesh's remarkable accomplishments and the essential measures needed to sustain its advancement towards the objective of attaining upper-middle-income status by 2031.